

AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

I	STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2018	Bank		Group Consolidated	
		31.12.2017 Audited (Ksh'000)	31.12.2018 Audited (Ksh'000)	31.12.2017 Audited (Ksh'000)	31.12.2018 Audited (Ksh'000)
A. ASSETS					
1	Cash balances (both local and foreign)	447,263	356,884	447,263	356,884
2	Balances due from Central Bank of Kenya	2,823,459	2,423,468	2,823,459	2,423,468
3	Kenya Government and other securities held for dealing purposes	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-
5	Investment Securities:				
	a) Held to Maturity:	746,179	515,801	746,179	515,801
	a. Kenya Government securities	746,179	515,801	746,179	515,801
	b. Other securities	-	-	-	-
	b) Available for sale:	1,541,117	2,696,339	1,541,117	2,696,339
	a. Kenya Government securities	1,541,117	2,696,339	1,541,117	2,696,339
	b. Other securities	-	-	-	-
6	Deposits and balances due from local banking institutions	1,530,873	1,696,302	1,530,873	1,696,302
7	Deposits and balances due from banking institutions abroad	770,389	345,124	770,389	345,124
8	Tax recoverable	195,394	184,898	204,012	311,739
9	Loans and advances to customers (net)	49,639,639	44,615,058	49,639,639	43,439,691
10	Balances due from banking institutions in the group	-	-	-	-
11	Investments in associates	-	-	-	-
12	Investments in subsidiary companies	-	-	-	-
13	Investment in Joint ventures	254,580	236,627	1,713,985	1,690,210
14	Investment properties	-	-	748,549	-
15	Property and equipment	1,513,899	1,339,729	1,517,380	2,078,978
16	Prepaid operating lease rentals	38,475	38,013	44,108	43,284
17	Intangible assets	1,071,997	1,006,692	1,072,387	1,007,553
18	Deferred tax asset	816,436	854,804	839,499	994,594
19	Retirement benefit asset	-	-	-	-
20	Other assets	736,856	773,544	3,902,277	2,949,383
21	TOTAL ASSETS	62,126,556	57,083,283	67,541,116	60,549,350
B. LIABILITIES					
22	Balances due to Central Bank of Kenya	-	-	-	-
23	Customer deposits	36,897,543	34,866,684	36,660,591	34,720,824
24	Deposits and balances due to local banking institutions	83,682	578,216	83,682	578,216
25	Deposits and balances due to foreign banking institutions	-	-	-	-
26	Other money market deposits	-	-	-	-
27	Borrowed funds	14,589,012	11,520,964	16,038,675	13,468,749
28	Balances due to banking institutions in the group	-	-	-	-
29	Tax payable	-	-	3	3
30	Dividends payable	-	-	49,058	28,055
31	Deferred tax liability	-	-	-	-
32	Retirement benefit liability	-	-	-	-
33	Other liabilities	592,858	952,459	3,259,572	1,382,272
34	TOTAL LIABILITIES	52,163,095	47,918,803	56,091,581	50,178,119
C. SHAREHOLDERS' FUNDS					
35	Paid up /Assigned capital	5,000,000	5,000,000	1,747,683	1,923,071
36	Share premium/(discount)	3,513,662	3,513,662	4,342,912	4,343,512
37	Revaluation reserves	179,580	180,440	881,044	881,903
38	Retained earnings/Accumulated losses	600,656	(1,440,413)	3,712,213	1,337,713
39	Statutory loan loss reserves	640,800	1,885,489	640,800	1,885,489
40	Other Reserves	(21,987)	(24,968)	(48,226)	(51,207)
41	Proposed dividends	-	-	122,359	-
42	Capital grants	50,750	50,750	50,750	50,750
43	TOTAL SHAREHOLDERS' FUNDS	9,963,461	9,164,960	11,449,535	10,371,231
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	62,126,556	57,083,283	67,541,116	60,549,350

II	STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 31 DECEMBER 2018	Bank		Group Consolidated	
		31.12.2017 Audited (Ksh'000)	31.12.2018 Audited (Ksh'000)	31.12.2017 Audited (Ksh'000)	31.12.2018 Audited (Ksh'000)
1	INTEREST INCOME				
1.1	Loans and advances	6,713,482	5,661,554	6,713,482	5,661,554
1.2	Government securities	314,112	338,823	314,112	338,823
1.3	Deposits and placements with banking institutions	105,032	45,144	105,032	45,144
1.4	Other Interest Income	-	-	-	-
1.5	Total interest income	7,132,626	6,045,521	7,132,626	6,045,521
2	INTEREST EXPENSES				
2.1	Customer deposits	2,323,445	2,173,142	2,323,445	2,173,142
2.2	Deposits and placement from banking institutions	110,940	126,790	110,940	126,790
2.3	Other interest expenses	1,639,967	1,311,822	1,721,873	1,479,916
2.4	Total interest expenses	4,074,352	3,611,754	4,156,258	3,779,848
3	NET INTEREST INCOME/(LOSS)	3,058,274	2,433,767	2,976,368	2,265,673
4	OTHER OPERATING INCOME				
4.1	Fees and commissions on loans and advances	51,039	62,953	51,039	62,953
4.2	Other fees and commissions	94,503	112,045	149,441	151,772
4.3	Foreign exchange trading income/(Loss)	50,221	38,173	50,221	38,173
4.4	Dividend Income	-	-	-	-
4.5	Other income	88,094	89,707	1,095,725	1,066,159
4.6	Total Non-interest income	283,857	302,878	1,346,426	1,319,057
5	TOTAL OPERATING INCOME	3,342,131	2,736,645	4,322,794	3,584,730
6	OPERATING EXPENSES				
6.1	Loan loss provision	576,203	375,908	576,203	375,908
6.2	Staff costs	853,599	929,804	1,088,000	1,227,078
6.3	Directors' emoluments	7,309	7,998	8,772	8,420
6.4	Rental charges	110,466	114,875	110,466	155,526
6.5	Depreciation charge on property and equipment	167,589	165,724	168,435	181,799
6.6	Amortisation charges	182,362	199,982	182,398	199,982
6.7	Other operating expenses	1,051,638	1,337,633	1,854,125	2,087,702
6.8	Total Other Operating Expenses	2,949,166	3,131,924	3,988,399	4,236,415
7	Profit/(loss) before tax and exceptional items	392,965	(395,279)	334,395	(651,685)
8	Exceptional items	(19,918)	13,555	(22,771)	8,941
9	Profit/(loss) after exceptional items	373,047	(381,724)	311,624	(642,744)
10	Current tax	(278,174)	(13,134)	(296,840)	(13,623)
11	Deferred tax	86,376	(33,967)	111,432	58,149
12	Profit/(loss) after tax and exceptional items	181,249	(428,825)	126,216	(598,218)
13	Other Comprehensive Income				
	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-
13.1	operations	-	-	-	-
13.2	Fair value changes in available for sale financial assets	39,520	60,379	39,520	60,379
13.3	Revaluation surplus on Property,plant and equipment	189,032	860	189,032	860
13.4	Share of other comprehensive income of associates	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	(21,308)	(18,114)	(21,308)	(18,114)
14	Other Comprehensive Income for the year net of tax	207,244	43,125	207,244	43,125
15	Total comprehensive income for the year	388,493	(385,700)	333,460	(555,093)
	Earnings per share	36.25	(85.77)	0.36	(1.56)
	Dividend per share	40.00	25.00	0.35	-

III	DISCLOSURES AS AT 31 DECEMBER 2018	Bank		Group Consolidated	
		31.12.2017 Audited (Ksh'000)	31.12.2018 Audited (Ksh'000)	31.12.2017 Audited (Ksh'000)	31.12.2018 Audited (Ksh'000)
1	Non-Performing Loans and Advances				
	a) Gross non-performing loans and advances	8,212,167	13,334,356	8,212,167	13,334,356
	b) Less: Interest in Suspense	1,261,043	2,501,523	1,261,043	2,501,523
	c) Total non-Performing loans and advances (a-b)	6,951,124	10,832,833	6,951,124	10,832,833
	d) Less: Loan loss provisions	1,729,104	2,098,159	1,729,104	2,098,159
	e) Net non-performing loans and advances(c-d)	5,222,020	8,734,674	5,222,020	8,734,674
	f) Discounted value of securities	5,222,020	8,734,674	5,222,020	8,734,674
	g) Net Exposure(e-f)	-	-	-	-
2	Insider loans and advances				
	a) Directors, shareholders and associates	507,608	1,549,429	507,608	1,549,429
	b) Employees	1,019,530	868,996	1,019,530	868,996
	c) Total insider Loans and Advances	1,527,138	2,418,425	1,527,138	2,418,425
3	Off-Balance Sheet items				
	a) Letters of credit, guarantees and acceptances	280,252	184,760	280,252	184,760
	b) Forwards, swaps and options	1,445,300	972,275	1,445,300	972,275
	c) Other contingent liabilities	-	-	-	-
	c) Total contingent liabilities	1,725,552	1,157,035	1,725,552	1,157,035
4	Capital Strength				
	a) Core capital	8,297,882	6,925,770	8,963,309	7,370,131
	b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000
	c) Excess/Deficiency	7,297,882	5,925,770	7,963,309	6,370,131
	d) Supplementary capital	811,402	684,869	811,402	684,869
	e) Total capital (a+d)	9,109,284	7,610,639	9,774,711	8,055,000
	f) Total risk weighted assets	53,575,584	48,940,357	56,912,342	52,178,149
	g) Core capital /Total deposit liabilities	22.44%	19.54%	24.39%	20.88%
	h) Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%
	i) Excess/Deficiency	14.44%	11.54%	16.39%	12.88%
	j) Core capital /Total risk weighted assets	15.49%	14.15%	15.75%	14.12%
	k) Minimum Statutory Ratio	10.50%	10.50%	10.50%	10.50%
	l) Excess/Deficiency (j-k)	4.99%	3.65%	5.25%	3.62%
	m)Total capital /Total risk weighted assets	17.00%	15.55%	17.18%	15.44%
	n) Minimum Statutory Ratio	14.50%	14.50%	14.50%	14.50%
	o) Excess/Deficiency (m-n)	2.50%	1.05%	2.68%	0.94%
	p) Adjusted Core Capital/Total Deposit Liabilities*		20.05%		
	q) Adjusted Core Capital/Total Risk Weighted Assets*		14.52%		
	r) Adjusted Total Capital/Total Risk Weighted Assets*		15.92%		
5	Liquidity				
	a) Liquidity Ratio	20.70%	20.92%	20.70%	20.92%
	b) Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%
	c) Excess(Deficiency) (a-b)	0.70%	0.92%	0.70%	0.92%

*Notes

The adjusted Capital Ratios includes the expected credit loss provisions added back to Capital in line with CBK Guidance Note issued in April 2018 on implementation of IFRS 9.

MESSAGE FROM DIRECTORS

ANNUAL GENERAL MEETING

Notice is hereby given that the 53rd Annual General meeting of HF Group PLC will be held on Friday, 26th April 2019 at the Kenyatta International Convention Centre (KICC) Amphitheatre Nairobi from 11.00 am.

DIVIDENDS

The Directors do not recommend payment of a dividend.

These financial statements are extracts from the books of the institution as audited by KPMG Kenya and received unqualified opinion. The complete set of audited financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.hfgroup.co.ke.

They may also be accessed at the institutions head office located at Rehani House, Kenyatta Avenue/Koinange Street, Nairobi after the approval by members at the Annual General Meeting.

The financial statements were approved by the Board of Directors on 28th March 2019.

Sam Waweru
HFC Managing Director

Robert Kibaara
Group Chief Executive Officer

Steve Mainda
Group Chairman

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HFC is a wholly owned subsidiary of HF Group
HFC is regulated by the Central Bank of Kenya